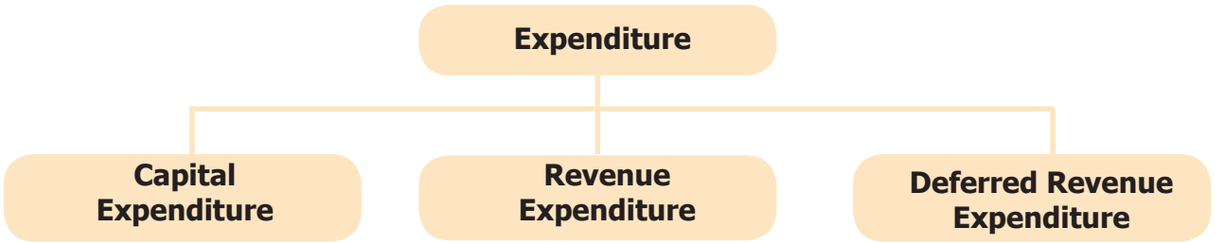
is treated as revenue even if the benefit of the expenditure extends beyond one accounting period. For example cost of waste basket is treated as revenue expenditure.

11.3 Classification of expenditure

Expenditures may be classified into the following three categories:

(i) Capital expenditure
(ii) Revenue expenditure
(iii) Deferred revenue expenditure.



11.4 Capital expenditure

It is an expenditure incurred during an accounting period, the benefits of which will be available for more than one accounting period. It includes any expenditure resulting in the acquisition of any fixed asset or contributes to the revenue earning capacity of the business. It is non- recurring in nature.

11.4.1 Features of capital expenditure

Following are the features of capital expenditure:

(i) It gives benefit for more than one accounting period.
(ii) It includes acquisition of fixed assets and all expenditure incurred upto the point an asset is ready for use.
(iii) It contributes to the revenue earning capacity of the business.
(iv) It is non-recurring in nature.
(v) It is shown on the assets side of the balance sheet.

Examples

- Cost of acquisition of land and building.
- Cost of acquisition of office equipment, computer and air-conditioner.
- Cost of acquisition of plant and machinery including installation charges and trial run.

11.5 Revenue expenditure

The expenditure incurred for day to day running of the business or for maintaining the earning capacity of the business is known as revenue expenditure. It is recurring in nature. It is incurred to generate revenue for a particular accounting period. The revenue expenditure may be incurred in relation with revenue or in relation with a particular accounting period. For example, cost of purchases is a revenue expenditure related to sales revenue. Rent and salaries are related to a particular accounting period.

11.5.1 Features of revenue expenditure

Following are the features of revenue expenditure:

(i) It is recurring in nature.

Accountancy Unit-11.indd 230 12/12/2021 6:20:32 PM